The Importance of Market Conditions at the Retirement Date

For those presently reaching retirement, this leads to a second concern beyond that suggested by the international data. US financial markets have entered uncharted waters now in regard to the low bond yields and high stock market valuations facing investors.

Classic safe withdrawal rates studies such as Bengen's and the Trinity study investigate sustainable withdrawal rates from rolling periods of the historical data, giving us an idea of what would have worked in the past. For a thirty-year retirement period, we can learn about the historical sustainable withdrawal rates beginning up to thirty years ago (i.e., 1987). The question remains whether those past outcomes provide reasonable expectations for the future.

This is worth repeating, as it is important to remember and easy to forget. When looking at thirty-year retirements with historical simulations, we can only consider retirements beginning up to the 1980s. Due to sequence-of-returns risk, recent market conditions only show up at the end of these retirements and have little bearing on their outcomes. This matter extends beyond academic interest, as market conditions have witnessed historical extremes in recent years, in terms of both low interest rates and high stock market valuations.

The general problem with attempting to gain insights from historical outcomes is that future market returns and withdrawal rate outcomes are connected to the current values of the sources for market returns.

As John Bogle describes in his brilliant 2009 book *Enough*, these sources include income, growth, and changing valuation multiples. Future stock returns depend on dividend income, growth of underlying earnings, and changes in valuation multiples placed on earnings. If the current dividend yield is below its historical average, then future stock returns will also tend to be lower. When price-earnings multiples are high, markets tend to exhibit mean reversion, so relatively lower future returns should be expected. Exhibit 5.4 shows that stock market valuations have been high for much of